TOPIC 1 · THE GLOBAL ECONOMY

The Australian Financial Review (Ryan Cropp), 11 Nov
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Albanese at COP31: climate policy meets political reality

> Anthony Albanese has arrived at the COP31 climate summit in Antalya, Türkiye – the first Australian prime minister at a COP since 2021 – as Australia oversees the negotiations without the United States at the table.

WHAT HAPPENED

- Climate Change and Energy Minister **Chris Bowen** is running the negotiations, trying to unite **200+ countries** behind commitments including a push to **electrify 35% by 2035**.
- The **United States has withdrawn** from the UN climate process under President Trump.
- Australia lost its bid to host COP31 to Türkiye. Hosting in Adelaide would have cost **well over $1 billion**, on government estimates; under the deal, **Türkiye pays most of the costs**.
- Albanese argues Australia has economic, environmental and **national security** interests in the summit, including leadership in the Pacific.
- Bowen is focusing on getting countries to **implement existing pledges**. Global temperatures have already exceeded the Paris goal of **1.5°C**.

200+
Countries in the negotiations

35%
Electrification goal by 2035

$1bn+
Estimated cost of an Adelaide COP

1.5°C
Paris goal – already exceeded

Free-rider problem: when countries benefit from others' emissions cuts without paying the cost themselves.
Global public good: a benefit (e.g. a stable climate) that no country can be excluded from enjoying.

DECISION TREE

Why climate cooperation is hard: the free-rider problem

Country A \ Country B	Cuts emissions	Free-rides
Cuts	Country A: **+3** Country B: **+3**	Country A: **−1** Country B: **+4**
Free-rides	Country A: **+4** Country B: **−1**	Country A: **0** Country B: **0**

Illustrative pay-offs (net benefit). Each country does better by free-riding.

Both countries are better off if both cut emissions (top left). But each does even better by letting the other bear the cost, so the likely outcome is that **neither acts** (bottom right).

When a large emitter such as the **US** leaves the process, the gains from cooperation shrink and others have less reason to keep their own pledges.

Exam angle: Climate is a **global** negative externality, so it needs **international** agreements. Their main limitation is that they are hard to enforce: pledges are largely voluntary.

WINNERS AND LOSERS

Australia's COP31 role: the costs and the benefits claimed

Costs and risks
- Political backlash over spending while rates are high
- Hard to show results without the US involved

Benefits claimed
- Pacific leadership and national security
- Economic interest in the global energy transition

SYLLABUS LINK

Topic 1 – Global environmental issues and international cooperation; Topic 4 – environmental management policy and its limitations.

TRY THIS

Explain why the withdrawal of a major economy weakens international cooperation on climate change.
(4 MARKS)

Sources — The Australian Financial Review, 'COP is a political headache Albanese can't dodge', Ryan Cropp, 11 Nov 2026: afr.com (subscriber article)

Figures as reported; diagrams are illustrative, not to scale.